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ON MARCH 1, 2024, Google pulled 10 popular Indian mobile apps—BharatMatrimony, Jeevansathi, Naukri.com, 99acres, Shaadi.com, Truly Madly, QuackQuack, Stage, Altt, and Kuku FM—due to payment policy violations from its Play Store, only to reinstate them. Since then, there has been much discussion on the need for an Indian app store to break up the Google-Apple duopoly.

The tech giants dominate the app world—Google’s Android enjoys 94.94% market share in India, and Apple’s iOS has a 4.22% share.

“Indian companies will comply—for now. But what India needs is an App Store/Play Store that is a part of the Digital Public Infrastructure—like UPI and ONDC. The response needs to be strategic,” wrote Sanjeev Bikhchandani, Founder and Executive Vice Chairman of Info Edge—which runs Jeevansathi, Naukri.com, 99acres, among others—on microblogging site X, tagging Commerce and Industry Minister Piyush Goyal, soon after the incident. And he wasn’t the only one from India Inc. advocating for an Indian app store.

This isn’t the first time Google removed an app from India from its Play Store. In 2020, it had pulled fintech app Paytm for a few hours, citing violations of policies. After a few months, Paytm Founder Vijay Shekhar Sharma launched a mini app store

within the Paytm app to reduce its reliance on Google. Sharma has been vocal about developing an Indian app store since.

From purchasing a toothbrush to obtaining an AI certification, apps are available for almost everything. And India, the second-largest smartphone user market after China, recorded a staggering 25.96 billion app downloads on mobile devices in 2023 and generated good revenue (*See chart ‘App Time’*). According to data analytics website Statista, India’s app market revenue has grown to \$3.3 billion in 2023 from \$2.7 billion in 2022. With a rising economy and increasing internet penetration, a focus on expanding the Digital Stack, and a thriving IT industry, the number is set to rise in the coming days. But, is the time ripe for India’s own app store?

THE APP ‘TAX’

Since the smartphone era began in the late 2000s, Google’s Android and Apple’s iOS have been the go-to options. Apps make these operating systems—which power smartphones—the success they are today.

In March, after Google removed those 10 popular apps from its Play Store, IT Minister Ashwini Vaishnaw was quick to respond. “India is very clear, our policy is very clear...our start-ups will get the protection that they need,” he had said.

Google, while re-listing the apps, had said that it “maintains its right to implement and enforce its business model, as established in various courts,” prompting many start-up and tech entrepreneurs to highlight the need for an Indian alternative and stoking the idea of a home-grown app store.

Another reason for a renewed push for an alternative is the app ‘tax’. Start-ups have highlighted

STORE WARS



Google and Apple own more than 99% of the app market in India



Despite the Make in India initiative, there remains a gap between the app stores of global tech giants and locally developed ones



The debate is whether the government should step in, or whether an Indian start-up should grab this opportunity



Developers are the biggest gainers or losers in this digital power struggle



On top of that, AI could be the biggest threat to the modern app ecosystem on smartphones